

Aave also supports flash loans in all of its markets and is the only source of flash liquidity for many smaller-cap tokens. Aave charges a fee of 9 basis points (bps) on the loan amount to execute a flash loan. The fee is paid to the asset pool and provides an additional return on investment to suppliers because they each own a pro rata share of the pool. An important use case for flash loans is that they allow users quick access to capital as a means to refinance positions. This functionality is crucial to DeFi, both as general infrastructure and as a component of a positive user experience (UX).

To provide an example, assume the price of ETH is 200 DAI. A user supplies 100 ETH in Compound and borrows 10,000 DAI to lever up and purchase an additional 50 ETH, which the user also supplies to Compound. Suppose the borrow interest rate in DAI on Compound is 15 percent, but only Aave is 5 percent. The goal is to refinance the borrowing to take advantage of the lower rate offered on Aave, which is analogous to refinancing a mortgage, a long and costly process in centralized finance.

One option is to manually unwind each trade on Compound and redo both trades on Aave to reconstruct the levered position, but this option is wasteful in terms of exchange fees and gas fees. The easier route is to take out a flash loan from Aave for 10,000 DAI, use it to pay the debt on Compound, withdraw the full 150 ETH, resupply to Aave, and trigger a normal Aave borrow position (at 5 percent APR) against that collateral to repay the flash loan (Figure 6.5). The latter approach effectively skips the